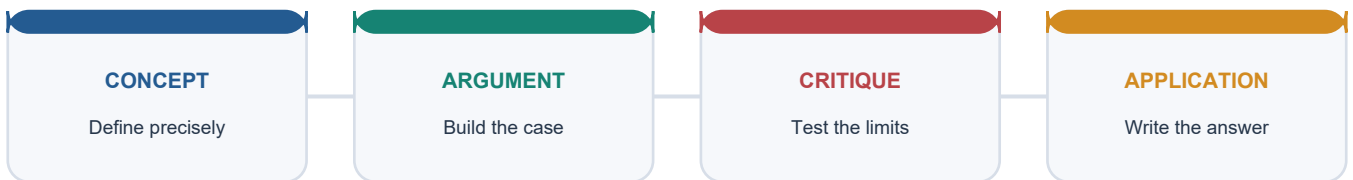


SOLVED PRACTICE WORKBOOK

National Income: GDP, GVA, GNI/GNP, NDP, NNI and Measurement - Solved Practice Workbook

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing

LEARNING PATH



Deterministic fallback visual: move from precise concepts through argument and critique to exam application.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

CONTENTS / WORKBOOK INDEX

Major learning parts and meaningful subtopics are listed in document order. Page numbers are generated from the final PDF layout; PDF bookmarks mirror the same hierarchy.

National Income: GDP, GVA, GNI/GNP, NDP, NNI and Measurement - Solved Practice Workbook . . 4

BASIC MCQS / REMEDIATION 4

MCQ 1	4
MCQ 2	4
MCQ 3	5
MCQ 4	5
MCQ 5	5
MCQ 6	6
MCQ 7	6
MCQ 8	6
MCQ 9	7
MCQ 10	7
MCQ 11	7
MCQ 12	8
MCQ 13	8
MCQ 14	8
MCQ 15	9
MCQ 16	9
MCQ 17	9
MCQ 18	10
MCQ 19	10
MCQ 20	10
MCQ 21	11
MCQ 22	11
MCQ 23	11
MCQ 24	12
MCQ 25	12
MCQ 26	12
MCQ 27	13

MCQ 28	13
MCQ 29	13
MCQ 30	14
MCQ 31	14
MCQ 32	14
PYQS AND ANSWER PRACTICE	15
Verified PYQ 1 - UPSC Prelims 2018, GS Paper I, Question 50	15
Verified PYQ 2 - UPSC Prelims 2019, GS Paper I, Question 82	15
Verified PYQ 3 - UPSC Mains 2020, GS Paper III, Question 2	15
Verified PYQ 4 - UPSC Mains 2021, GS Paper III, Question 1	15
Verified PYQ 5 - UPSC Prelims 2022, GS Paper I, Question 7	15
Verified PYQ 6 - UPSC Prelims 2023, GS Paper I, Question 28	16
Verified PYQ 7 - UPSC Prelims 2024, GS Paper I, Set A, Question 45	16
Verified PYQ 8 - UPSC Prelims 2024, GS Paper I, Set A, Question 47	16
ORIGINAL MAINS PRACTICE	17
ORIGINAL MAINS 1 - 10 MARKS	17
ORIGINAL MAINS 2 - 10 MARKS	17
ORIGINAL MAINS 3 - 15 MARKS	17
ORIGINAL MAINS 4 - 15 MARKS	18
ORIGINAL MAINS 5 - 20 MARKS	18
ORIGINAL MAINS 6 - 20 MARKS	19

National Income: GDP, GVA, GNI/GNP, NDP, NNI and Measurement - Solved Practice Workbook

Standalone scope: exactly 32 original MCQs before PYQs, strict ABCD rotation repeated eight times, 128 substantive unique option explanations, 32 unique examiner traps, official PYQ-key discipline and exactly six original Mains model answers.

Practice contract: Exactly 32 original MCQs appear before PYQs. Correct answers follow ABCD repeated eight times. Each option receives a substantive question-specific explanation, and every question ends with a unique examiner trap.

BASIC MCQS / REMEDIATION

MCQ 1

Why do the production, income and expenditure approaches converge conceptually?

- A. Because one production event creates value added, distributes income and is absorbed in final expenditure.
- B. Because NSO forces all three estimates to use the same survey returns.
- C. Because transfer payments are counted once under each approach.
- D. Because statistical discrepancy is treated as an additional sector.

Answer: A.

Option-specific explanations:

- **A - Correct:** This states the circular-flow identity linking the same activity across three accounts.
- **B - Incorrect:** The approaches use different source systems; identical surveys are not the reason for conceptual equality.
- **C - Incorrect:** Transfers redistribute purchasing power and are not current production under each route.
- **D - Incorrect:** Discrepancy reconciles estimates; it is not a producing sector.

Examiner trap 1: Conceptual equality does not mean separately estimated totals are data-identical.

MCQ 2

What best explains a statistical discrepancy in national accounts?

- A. Unpaid household care is deliberately added as a balancing output.
- B. Different data sources, timing, coverage and revisions leave a residual between estimates.
- C. Imports are excluded from every expenditure component before compilation.
- D. CFC is counted twice and then cancelled.

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Unpaid care is generally outside the core boundary and is not a balancing plug.
- **B - Correct:** Independent source systems and vintages create a residual even though the identity holds conceptually.
- **C - Incorrect:** Imports can be embedded in final uses and are deducted in the net-export bridge.
- **D - Incorrect:** CFC distinguishes gross from net; it does not explain the routine discrepancy.

Examiner trap 2: Do not interpret the discrepancy as hidden production or deliberate falsification.

MCQ 3

A mill buys wheat for 30 and sells flour for 50. What is its GVA?

- A. 80, because both transactions are market sales.
- B. 50, because gross output alone equals GVA.
- C. 20, because intermediate consumption is deducted from output.
- D. 30, because the input value is the producer contribution.

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Adding input and output double counts the wheat embodied in flour.
- **B - Incorrect:** Gross output must be reduced by intermediate consumption.
- **C - Correct:** The mill creates 20 of value: 50 output minus 30 input.
- **D - Incorrect:** Thirty is the value transferred from the farmer, not newly created by the mill.

Examiner trap 3: A product can be final in one use and intermediate in another; classify by use.

MCQ 4

A firm produces unsold finished goods during the year. How are they treated?

- A. Excluded until a buyer pays cash.
- B. Recorded only as intermediate consumption.
- C. Added to household final consumption.
- D. Included as change in inventories when produced.

Answer: D.

Option-specific explanations:

- **A - Incorrect:** National accounts record production when it occurs, not only when cash is received.
- **B - Incorrect:** Finished unsold goods are output held as assets, not inputs consumed in production.
- **C - Incorrect:** No household final purchase has occurred.
- **D - Correct:** Inventory accumulation is capital formation and can be intended or unintended.

Examiner trap 4: Inventory inclusion is an accounting fact; whether it signals healthy demand is a separate inference.

MCQ 5

Which transaction enters India's GDP but need not enter India's GNI by the same amount?

- A. Production in India by a foreign-controlled resident enterprise, before cross-border primary-income adjustment.
- B. A gift received by an Indian household from a relative abroad.
- C. A rise in the market price of an existing share.
- D. The resale of an old imported machine.

Answer: A.

Option-specific explanations:

- **A - Correct:** Location places current production in GDP; primary income payable abroad can alter the GNI bridge.
- **B - Incorrect:** A personal gift is a current transfer and affects disposable income, not current production.
- **C - Incorrect:** A holding gain is not output.
- **D - Incorrect:** Resale transfers an existing asset; only a current service margin may enter GDP.

Examiner trap 5: Domestic territory is not the same as ownership, citizenship or residence.

MCQ 6

Which item is normally a current transfer rather than primary income from abroad?

- A. Interest received by a resident on a foreign bond.
- B. A personal remittance sent without a labour or property-income claim.
- C. Compensation earned by a resident temporary worker abroad.
- D. Distributed income received on foreign equity.

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Interest is property income and therefore primary income.
- **B - Correct:** A personal transfer changes disposable resources without being generated by current production.
- **C - Incorrect:** Compensation of employees is primary income when residence rules place it cross-border.
- **D - Incorrect:** Distributed corporate income is property income.

Examiner trap 6: Do not add all remittances to GDP or GNI without classifying their economic nature.

MCQ 7

Which formula correctly converts GDP into GNI?

- A. GDP minus net current transfers from abroad.
- B. GDP minus consumption of fixed capital.
- C. GDP plus net primary income from abroad.
- D. GDP plus taxes on products less subsidies on products.

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Current transfers bridge national income to disposable income.
- **B - Incorrect:** Deducting CFC converts gross domestic product into NDP.
- **C - Correct:** Resident primary income receivable less payable converts domestic output to national income.
- **D - Incorrect:** Net product taxes bridge GVA at basic prices to GDP at market prices.

Examiner trap 7: GNP is the legacy product label corresponding broadly to GNI, not GDP plus all foreign receipts.

MCQ 8

Which bridge gives gross national disposable income (GNDI)?

- A. GDP plus net exports.
- B. GNI minus CFC.
- C. NNI plus product taxes.
- D. GNI plus net current transfers from abroad.

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Net exports are already in GDP expenditure.
- **B - Incorrect:** GNI minus CFC gives NNI.
- **C - Incorrect:** Product taxes are part of the valuation bridge, not the disposable-income bridge.
- **D - Correct:** Current transfers add resources available to the nation without being primary income.

Examiner trap 8: Disposable income follows the national-income bridge; it is not a synonym for GDP.

MCQ 9

What does 'gross' signify in GDP?

- A. Consumption of fixed capital has not been deducted.
- B. All intermediate sales have been added.
- C. Foreign primary income has been included.
- D. Inflation has been removed.

Answer: A.

Option-specific explanations:

- **A - Correct:** Gross retains the capital-consumption charge.
- **B - Incorrect:** Intermediate inputs are excluded through value-added accounting.
- **C - Incorrect:** Foreign primary income distinguishes domestic from national.
- **D - Incorrect:** Price adjustment distinguishes nominal from real.

Examiner trap 9: Gross/net and nominal/real are independent axes.

MCQ 10

How is GDP at market prices obtained from GVA at basic prices?

- A. Subtract all production taxes and add all subsidies.
- B. Add taxes on products and subtract subsidies on products.
- C. Add CFC and subtract imports.
- D. Add net primary income from abroad.

Answer: B.

Option-specific explanations:

- **A - Incorrect:** This describes a factor-cost-related bridge incompletely, not GDP from basic-price GVA.
- **B - Correct:** Net taxes on products convert producer basic-price valuation to purchaser market-price valuation.
- **C - Incorrect:** CFC and imports belong to different accounting axes.
- **D - Incorrect:** NPIFA converts domestic to national.

Examiner trap 10: Only taxes and subsidies on products form the direct GDP-GVA bridge.

MCQ 11

Which statement about product taxes is correct?

- A. They are identical to all direct taxes paid by households.
- B. They are deducted when moving from GVA basic prices to GDP market prices.
- C. They are linked to units or value of products and are added net of product subsidies.
- D. They convert gross aggregates into net aggregates.

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Household income taxes are not taxes on products.
- **B - Incorrect:** The bridge adds, not subtracts, net product taxes.
- **C - Correct:** Product taxes are purchaser-price components linked to goods and services.
- **D - Incorrect:** CFC, not product taxes, converts gross to net.

Examiner trap 11: Separate taxes on products from other taxes on production.

MCQ 12

Why is factor cost called a legacy concept in current Indian GDP discussion?

- A. It is identical to current market prices.
- B. It is used only for household income.
- C. It means constant prices.
- D. Headline GDP shifted to market prices while producer GVA is presented at basic prices; factor cost remains a distinct older valuation.

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Factor cost excludes relevant taxes and is not market price.
- **B - Incorrect:** It is an economy-wide valuation concept, not household-only.
- **C - Incorrect:** Price basis over time is a separate nominal-real distinction.
- **D - Correct:** The 2015 framework changed the headline presentation without making basic price and factor cost synonyms.

Examiner trap 12: Do not write 'basic prices/factor cost' as if the slash removes their difference.

MCQ 13

Which measure is best suited to compare changes in output volume over time?

- A. Real GDP at a consistent price basis and series.
- B. Nominal GDP at current prices.
- C. Market capitalisation.
- D. Gross national disposable income at current prices alone.

Answer: A.

Option-specific explanations:

- **A - Correct:** Real GDP aims to remove estimated price change and preserve a comparable series.
- **B - Incorrect:** Nominal GDP mixes price and volume changes.
- **C - Incorrect:** Market capitalisation values financial claims, not current production.
- **D - Incorrect:** Current-price disposable income still mixes prices and quantities.

Examiner trap 13: A real series must still be labelled by base year and vintage.

MCQ 14

What is the GDP deflator?

- A. A fixed household cost-of-living basket.
- B. Nominal GDP divided by real GDP, multiplied by 100.
- C. WPI after excluding food.
- D. The exchange rate used to convert GDP into dollars.

Answer: B.

Option-specific explanations:

- **A - Incorrect:** That describes a CPI-type concept, not the implicit GDP price index.
- **B - Correct:** The ratio provides the implicit price measure for domestically produced final output.
- **C - Incorrect:** WPI has a different goods-oriented basket and purpose.
- **D - Incorrect:** Exchange-rate conversion is unrelated to domestic deflation.

Examiner trap 14: The deflator can differ from CPI because coverage and weights differ.

MCQ 15

If real GDP rises from 200 to 210, what is the real growth rate?

- A. 10 per cent.
- B. 4 per cent.
- C. 5 per cent.
- D. The rate cannot be computed without nominal GDP.

Answer: C.

Option-specific explanations:

- **A - Incorrect:** A 10-unit rise is not a 10 per cent rise from a base of 200.
- **B - Incorrect:** Four per cent would imply an increase of 8.
- **C - Correct:** $(210/200 - 1) \times 100 = 5$ per cent.
- **D - Incorrect:** Real growth can be computed directly from consistent real GDP levels.

Examiner trap 15: Do not confuse an absolute change, percentage-point change and growth rate.

MCQ 16

What does real per-capita income primarily add to real aggregate income analysis?

- A. A direct inequality measure.
- B. An environmental-depletion adjustment.
- C. A labour-force participation adjustment.
- D. A population denominator.

Answer: D.

Option-specific explanations:

- **A - Incorrect:** An average does not reveal the distribution around it.
- **B - Incorrect:** Green accounting requires separate environmental adjustments.
- **C - Incorrect:** Employment analysis needs labour-market indicators.
- **D - Correct:** Dividing by population distinguishes aggregate scale from average output or income per person.

Examiner trap 16: Per-capita income is an average, not median income or an inequality index.

MCQ 17

Which activity is inside the conventional production boundary?

- A. Imputed housing services consumed by owner-occupiers.
- B. Unpaid care by a parent for their own child.
- C. A capital gain on an old house.
- D. A pension transfer with no current service in return.

Answer: A.

Option-specific explanations:

- **A - Correct:** Owner-occupied housing is imputed to make tenant and owner housing services comparable.
- **B - Incorrect:** Most unpaid household services for own use remain outside core GDP.
- **C - Incorrect:** Holding gains are changes in asset value, not production.
- **D - Incorrect:** A pension redistributes income; later purchases may enter GDP.

Examiner trap 17: Non-cash does not always mean excluded; check the production boundary and imputation rule.

MCQ 18

How are owner-occupied housing services treated?

- A. Ignored because no rent is paid.
- B. Included through an imputed rental value.
- C. Counted as a current transfer.
- D. Added only when the house is sold.

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Exclusion would make identical housing services depend on tenure.
- **B - Correct:** Imputation treats the owner as supplying and consuming a housing service.
- **C - Incorrect:** No transfer between institutional units explains the service.
- **D - Incorrect:** Sale is an asset transaction and does not create the annual housing service.

Examiner trap 18: Imputed rent is a flow of housing services, not the market value of the dwelling.

MCQ 19

How is most government non-market output valued?

- A. By tax revenue collected.
- B. By the market value of government land.
- C. By the sum of production costs under national-accounting conventions.
- D. By the number of beneficiaries alone.

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Taxes finance activity but do not price each service.
- **B - Incorrect:** Land value is a balance-sheet item, not current service output.
- **C - Correct:** Compensation, intermediate consumption, CFC and relevant production items provide the cost valuation.
- **D - Incorrect:** Beneficiary counts may be volume indicators but do not alone give value.

Examiner trap 19: Cost-valued output is not the same as quality or outcome.

MCQ 20

Which statement about illegal or underground activity is most accurate?

- A. All illegal activity is automatically excluded from the SNA production boundary.
- B. Theft is counted as production because money changes hands.
- C. Informal and illegal are synonyms.
- D. Mutually agreed illegal market production is inside the boundary in principle, though measurement is difficult; theft is redistribution.

Answer: D.

Option-specific explanations:

- **A - Incorrect:** The production boundary is concept-based, not simply the criminal-law boundary.
- **B - Incorrect:** Theft transfers an existing asset without producing a good or service.
- **C - Incorrect:** Many informal enterprises conduct legal activity.
- **D - Correct:** This distinction preserves conceptual exhaustiveness while recognising practical data limits.

Examiner trap 20: Do not use 'black economy' as an undifferentiated synonym for informal output.

MCQ 21

Why are imports subtracted in the expenditure identity?

- A. Because C, I and G can contain foreign production that must be removed from domestic output.
- B. Because imports always reduce welfare.
- C. Because customs duties are excluded from market-price GDP.
- D. Because imported capital goods are intermediate consumption.

Answer: A.

Option-specific explanations:

- **A - Correct:** The subtraction corrects the territorial production boundary after gross final-use totals.
- **B - Incorrect:** Welfare effects depend on use, prices and financing; the identity is not a moral judgment.
- **C - Incorrect:** Product-tax treatment is a separate valuation issue.
- **D - Incorrect:** Imported machinery can be fixed capital formation.

Examiner trap 21: Imports are subtracted once as a boundary correction, not deleted from every component first.

MCQ 22

What determines a sector's contribution to aggregate GVA growth?

- A. Its growth rate alone.
- B. Its weight in GVA together with its growth rate.
- C. Its employment share alone.
- D. Whether it is publicly owned.

Answer: B.

Option-specific explanations:

- **A - Incorrect:** A small fast-growing sector may contribute little in absolute terms.
- **B - Correct:** Weight and growth jointly determine the addition to aggregate growth.
- **C - Incorrect:** Employment share answers a labour-absorption question.
- **D - Incorrect:** Ownership does not determine activity contribution.

Examiner trap 22: Share, growth rate and contribution to growth are three different statistics.

MCQ 23

Which institution compiles India's official national accounts?

- A. Reserve Bank of India.
- B. National Statistical Commission.
- C. National Accounts Division of the NSO under MoSPI.
- D. GST Council.

Answer: C.

Option-specific explanations:

- **A - Incorrect:** RBI supplies and analyses data but is not the official GDP compiler.
- **B - Incorrect:** The NSC advises on statistical matters; it does not itself compile the accounts.
- **C - Correct:** NAD integrates sources and publishes official national-account aggregates.
- **D - Incorrect:** The GST Council recommends GST policy and is not a statistical compiler.

Examiner trap 23: Name the division and its function; do not substitute a prominent data user.

MCQ 24

Which statement correctly handles estimate vintage?

- A. An FAE is final because it is official.
- B. A projection and a provisional estimate are interchangeable.
- C. A revised estimate must always be lower than an advance estimate.
- D. Each figure should carry period, base, price basis and release vintage because later information can revise it.

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Official status does not make an early estimate final.
- **B - Incorrect:** A projection is a forecast; a PE is an official estimate using realised data available by release.
- **C - Incorrect:** Revisions can move in either direction.
- **D - Correct:** These labels allow valid comparison and prevent stale figures from being frozen.

Examiner trap 24: Latest does not mean final, and official does not erase the estimate label.

MCQ 25

What was a central feature of India's 2015 national-accounts revision?

- A. Shift to the 2011-12 base, headline GDP at market prices and wider MCA21 corporate coverage.
- B. Adoption of 2022-23 as base year.
- C. Replacement of GDP by HDI.
- D. Exclusion of the services sector.

Answer: A.

Option-specific explanations:

- **A - Correct:** These were defining changes in the 2015 series.
- **B - Incorrect:** The 2022-23 base belongs to the February 2026 revision.
- **C - Incorrect:** HDI complements rather than replaces production accounts.
- **D - Incorrect:** Services remained a major component and received wider data coverage.

Examiner trap 25: The 2015 revision changed more than the base year; include valuation and data coverage.

MCQ 26

Which feature belongs to MoSPI's 27 February 2026 GDP series?

- A. A return to GDP at factor cost as the headline.
- B. Base year 2022-23 with improved unincorporated coverage, double deflation in agriculture/manufacturing and SUT integration.
- C. Permanent elimination of future revisions.
- D. Classification of all household training as capital formation.

Answer: B.

Option-specific explanations:

- **A - Incorrect:** The modern headline remains GDP at market prices with GVA at basic prices.
- **B - Correct:** These are explicitly listed improvements in the official press note.
- **C - Incorrect:** New source information still requires revisions.
- **D - Incorrect:** Routine training is not automatically capitalised.

Examiner trap 26: Attach the 27 February 2026 source date and do not mix its SAE with later PE/NAS vintages.

MCQ 27

What is the fairest interpretation of MCA21 in GDP measurement?

- A. It directly measures every informal enterprise.
- B. It is an inflation index for corporate output.
- C. It broadens corporate administrative coverage but still requires validation, classification and complementary sources.
- D. It removes the need for company surveys and revisions.

Answer: C.

Option-specific explanations:

- **A - Incorrect:** MCA21 concerns registered corporate filings, not every unincorporated unit.
- **B - Incorrect:** It is an administrative database, not a price index.
- **C - Correct:** Its strength is coverage; its limits include filing quality, active-unit identification and activity classification.
- **D - Incorrect:** Administrative data do not eliminate statistical validation.

Examiner trap 27: Avoid both extremes: MCA21 is neither the whole economy nor inherently unusable.

MCQ 28

Why can a formal-sector proxy mismeasure informal output during a shock?

- A. Informal activity is legally excluded from GDP.
- B. Formal firms never respond to shocks.
- C. GDP is compiled only every ten years.
- D. The historical relationship between the indicator and target may break when sectors are affected differently.

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Informal production is estimated inside GDP where within the boundary.
- **B - Incorrect:** Formal activity responds too, but possibly with different magnitude and timing.
- **C - Incorrect:** Annual and quarterly estimates use multiple frequencies.
- **D - Correct:** A structural break undermines extrapolation even when the proxy worked earlier.

Examiner trap 28: A broken proxy can bias either direction; do not assert the sign without evidence.

MCQ 29

Which limitation remains even after converting GDP to a per-capita basis?

- A. Income distribution within the population.
- B. Population size.
- C. The distinction between aggregate and average.
- D. The arithmetic division by population.

Answer: A.

Option-specific explanations:

- **A - Correct:** Per-capita GDP can rise while gains are concentrated.
- **B - Incorrect:** Population is precisely the denominator added by the conversion.
- **C - Incorrect:** Per-capita converts aggregate to average.
- **D - Incorrect:** The calculation itself is what the measure performs.

Examiner trap 29: Average income is not median income and does not reveal inequality.

MCQ 30

Why can disaster reconstruction raise GDP without restoring welfare?

- A. GDP deducts all destroyed wealth before adding reconstruction.
- B. Reconstruction is current production, while the prior destruction is mainly a wealth-stock loss outside GDP.
- C. Natural disasters are treated as exports.
- D. Government reconstruction is excluded from output.

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Headline GDP does not symmetrically deduct the full destroyed asset stock.
- **B - Correct:** This flow-stock asymmetry explains the apparent paradox.
- **C - Incorrect:** No export classification follows from a domestic disaster.
- **D - Incorrect:** Construction and public services can enter current production.

Examiner trap 30: GDP is a flow; wealth destruction is primarily a balance-sheet event.

MCQ 31

Which statement about chain-volume measures is safest for India?

- A. India's 2026 GDP is officially described as an annual chain-linked series.
- B. Chain linking guarantees additive sector totals.
- C. Chain volume is a useful concept, but the 2026 headline is a 2022-23-base constant-price series unless MoSPI states otherwise.
- D. Chain indices and current-price estimates are identical.

Answer: C.

Option-specific explanations:

- **A - Incorrect:** The cited official GDP release identifies a fixed base year.
- **B - Incorrect:** Chain measures commonly lose simple additivity.
- **C - Correct:** This avoids importing another system's label into India's published methodology.
- **D - Incorrect:** Current-price values retain current prices and are not chain-volume estimates.

Examiner trap 31: Do not infer GDP methodology from the Survey's separate discussion of chain-based IIP.

MCQ 32

Which opening is strongest for a Mains answer on GDP measurement?

- A. GDP is the best measure of happiness.
- B. India's latest growth rate proves the methodology is correct.
- C. All GDP estimates are unreliable because revisions occur.
- D. National accounts measure one production flow through defined territory, valuation, price and vintage boundaries; interpretation begins by stating those boundaries.

Answer: D.

Option-specific explanations:

- **A - Incorrect:** GDP is not a complete welfare index.
- **B - Incorrect:** A growth outcome cannot validate every source and method.
- **C - Incorrect:** Revision is a normal design feature and does not make all estimates useless.
- **D - Correct:** The opening supplies the conceptual frame and creates room for evidence and qualification.

Examiner trap 32: A memorable opening should be precise enough to control the rest of the answer.

PYQS AND ANSWER PRACTICE

Verified PYQ 1 - UPSC Prelims 2018, GS Paper I, Question 50

Question: Despite being a high saving economy, capital formation may not result in significant increase in output due to:

- A. weak administrative machinery
- B. illiteracy
- C. high population density
- D. high capital-output ratio

Answer withheld pending official UPSC key.

Verified PYQ 2 - UPSC Prelims 2019, GS Paper I, Question 82

Question: Consider the following statements:

1. Purchasing Power Parity (PPP) exchange rates are calculated by comparing the prices of the same basket of goods and services in different countries.
2. In terms of PPP dollars, India is the sixth largest economy in the world.

Which of the statements given above is/are correct?

- A. 1 only
- B. 2 only
- C. Both 1 and 2
- D. Neither 1 nor 2

Answer withheld pending official UPSC key.

Verified PYQ 3 - UPSC Mains 2020, GS Paper III, Question 2

Question: Define potential GDP and explain its determinants. What are the factors that have been inhibiting India from realizing its potential GDP? (Answer in 150 words)

Answer withheld pending official UPSC key.

Verified PYQ 4 - UPSC Mains 2021, GS Paper III, Question 1

Question: Explain the difference between computing methodology of India's Gross Domestic Product (GDP) before the year 2015 and after the year 2015. (Answer in 150 words)

Answer withheld pending official UPSC key.

Verified PYQ 5 - UPSC Prelims 2022, GS Paper I, Question 7

Question: Which of the following activities constitute real sector in the economy?

1. Farmers harvesting their crops
2. Textile mills converting raw cotton into fabrics
3. A commercial bank lending money to a trading company
4. A corporate body issuing Rupee Denominated Bonds overseas

Select the correct answer using the code given below:

- A. 1 and 2 only
- B. 2, 3 and 4 only
- C. 1, 3 and 4 only
- D. 1, 2, 3 and 4

Answer withheld pending official UPSC key.

Verified PYQ 6 - UPSC Prelims 2023, GS Paper I, Question 28

Question: Consider the investments in the following assets:

1. Brand recognition
2. Inventory
3. Intellectual property
4. Mailing list of clients

How many of the above are considered intangible investments?

- A. Only one
- B. Only two
- C. Only three
- D. All four

Answer withheld pending official UPSC key.

Verified PYQ 7 - UPSC Prelims 2024, GS Paper I, Set A, Question 45

Question: With reference to the sectors of the Indian economy, consider the following pairs:

Economic activity	Sector
Storage of agricultural produce	Secondary
Dairy farm	Primary
Mineral exploration	Tertiary
Weaving cloth	Secondary

How many of the pairs given above are correctly matched?

- A. Only one
- B. Only two
- C. Only three
- D. All four

Official Set-A answer: B.

Solution: Storage is a tertiary service; dairy farming is primary; mineral exploration belongs to the extractive/primary domain in this classification; weaving cloth is secondary manufacturing. Pairs 2 and 4 are correct.

Verified PYQ 8 - UPSC Prelims 2024, GS Paper I, Set A, Question 47

Question: With reference to physical capital in Indian economy, consider the following pairs:

Item	Category
Farmer's plough	Working capital
Computer	Fixed capital
Yarn used by the weaver	Fixed capital
Petrol	Working capital

How many of the above pairs are correctly matched?

- A. Only one
- B. Only two
- C. Only three
- D. All four

Official Set-A answer: B.

Solution: A plough and computer provide services over multiple production periods and are fixed capital. Yarn and petrol are used up in production and are working capital. Pairs 2 and 4 are correct. The local official Set-A answer key records B for Question 47.

ORIGINAL MAINS PRACTICE

ORIGINAL MAINS 1 - 10 MARKS

Question: Distinguish GDP, GVA, GNI and NDP. Answer in 150 words.

Model answer:

GDP measures final production within domestic territory. GVA measures producers' value added: output minus intermediate consumption. GDP at market prices equals GVA at basic prices plus taxes on products minus subsidies on products. GNI, corresponding to legacy GNP, adds net primary income from abroad to GDP. NDP subtracts consumption of fixed capital from GDP and shows domestic production net of used-up fixed assets.

The distinctions matter analytically. A change in net product taxes can separate GDP growth from GVA growth; negative net primary income from abroad can make GNI lower than GDP; and gross output can overstate the amount remaining after capital maintenance. Thus an answer should identify four axes before comparison: domestic or national, gross or net, basic or market prices, and nominal or real. The correct aggregate follows the question's boundary, not a hierarchy in which one measure is always superior.

ORIGINAL MAINS 2 - 10 MARKS

Question: Why do the three methods of measuring GDP converge conceptually yet diverge statistically? Answer in 150 words.

Model answer:

The production, income and expenditure methods observe the same circular flow. Production creates value added; that value becomes compensation, operating surplus and mixed income; final users absorb the resulting output through consumption, capital formation and net exports. Conceptually, therefore, output equals income equals final expenditure.

Measured totals differ because the routes use distinct evidence. Production estimates combine enterprise surveys, crop and industrial indicators and administrative records. Income data face mixed household-enterprise accounts and under-reporting. Expenditure estimates depend on consumption, inventory, trade and government data with different reporting dates. Price adjustment, informal-sector extrapolation and later returns add further variation.

MoSPI's 27 February 2026 methodology uses Supply and Use Table integration to improve production- expenditure reconciliation. The residual remains a statistical discrepancy, not additional production. Better surveys, coherent classifications and transparent revision tables can reduce it, but independent estimation means a zero discrepancy is not a realistic proof of quality.

ORIGINAL MAINS 3 - 15 MARKS

Question: Explain the national-income aggregate ladder and the treatment of cross-border remittances. Answer in 250 words.

Model answer:

National-income aggregates change one accounting boundary at a time. GVA at basic prices plus net taxes on products gives GDP at market prices. GDP measures production within domestic territory. Adding primary income receivable from the rest of the world and subtracting primary income payable gives GNI, commonly called GNP in older texts. Deducting consumption of fixed capital gives NDP from GDP and NNI from GNI.

The next bridge concerns disposable resources rather than production income. Gross national disposable income equals GNI plus net current transfers from abroad; the net version deducts CFC. This is why all remittances cannot be added to GDP or treated as net factor income. Compensation for labour and property income are primary income when residence rules make them cross-border. A personal transfer sent without a corresponding labour, capital or service claim is secondary income/current transfer and affects disposable income.

Named evidence comes from MoSPI's National Accounts Statistics 2026, which publishes GDP, national income, per-capita income and external transactions as distinct statements. The analytical gain is precision: GDP answers where production occurred; GNI answers whose primary income accrued; disposable income answers what resources residents can consume or save.

The qualification is measurement. Residence is not citizenship, transfer classifications depend on transaction characteristics, and CFC is estimated. A sound answer therefore writes every bridge explicitly and avoids the textbook shortcut 'income from abroad' unless it is decomposed.

ORIGINAL MAINS 4 - 15 MARKS

Question: Examine the significance and limitations of India's 2022-23-base GDP series. Answer in 250 words.

Model answer:

The 2022-23-base series, released by MoSPI on 27 February 2026, updates the benchmark used to measure India's changing economy. Its significance lies in five improvements. First, it separates activities within multi-activity companies rather than classifying the whole enterprise by one dominant activity. Second, annual survey data improve unincorporated-sector coverage. Third, GST and other administrative data widen corroboration. Fourth, agriculture and manufacturing use double deflation, while other sectors use stated volume or single-extrapolation methods. Fifth, Supply and Use Table integration and Proportional Denton quarterly benchmarking improve reconciliation and temporal consistency.

MoSPI's 31 August 2026 NAS publication also records the incorporation of rebased PPI, IIP and Banking Services Price Index inputs, which revised estimates from 2022-23 onward. This illustrates why a base revision is more than changing one year's prices: sources, classifications, weights and methods can all change.

Limitations remain. Administrative filings require validation; granular deflators demand reliable output and input prices; informal estimates still combine benchmarks with indicators; and methodological change creates a series break. February Second Advance Estimates, June Provisional Estimates and August NAS revisions are not interchangeable vintages.

Therefore the revision should neither be accepted uncritically nor dismissed politically. Credibility depends on published concordances, revision studies, back series, accessible methodology and continuing survey improvement. Rebasings can improve relevance, but only transparent bridges preserve historical comparability and public trust.

ORIGINAL MAINS 5 - 20 MARKS

Question: Critically examine India's GDP measurement debates concerning MCA21, deflators and the informal sector. Answer in 250 words.

Model answer:

India's GDP debate concerns whether sources and methods represent the target concept, not whether one preferred growth rate should prevail. The 2015 series widened corporate coverage through the MCA21 database and shifted the headline to GDP at market prices with GVA at basic prices. This reduced dependence on a narrow company sample. Critics nevertheless questioned active-company identification, filing quality, multi-activity classification and reproducibility.

The 2022-23-base series responds partly through activity segregation, GST corroboration and updated administrative sources. Yet administrative data are collected for legal or tax purposes; statistical concepts still require cleaning and validation.

Deflation is a second fault line. Single deflation can misstate real GVA when output and input prices move differently. MoSPI's 27 February 2026 release adopts double deflation for agriculture and manufacturing, conceptually improving the price-volume split. Its quality, however, depends on representative output and intermediate-input price indices. Services and quality change remain difficult.

Third, unincorporated enterprises lack complete accounts. ASUSE, PLFS, tax data and benchmark- indicator methods expand coverage, but shocks can break the historical relation between formal indicators and informal output. Neither omission nor overstatement can be presumed without triangulated evidence.

The reform route is transparent source maps, annual surveys, published revision decompositions, Supply and Use Tables, stronger service-price statistics and an official back series. GDP remains indispensable; neutrality requires distinguishing a documented measurement risk from an unsupported allegation about its direction or magnitude.

ORIGINAL MAINS 6 - 20 MARKS

Question: GDP growth is necessary but insufficient for judging development. Discuss with reference to measurement boundaries. Answer in 250 words.

Model answer:

Real GDP growth is necessary because it records expansion of domestic production. It supports analysis of business cycles, fiscal capacity, debt ratios, sectoral transformation and the resource base available for public and private investment. Real per-capita output further separates aggregate expansion from population growth.

It is insufficient because the production boundary is not a welfare boundary. First, an average does not reveal distribution: gains may be concentrated. Second, most unpaid household care is excluded, so marketisation can raise GDP without an equal welfare gain. Third, government non-market output is mainly cost-valued, which does not directly measure service quality or outcomes. Fourth, pollution and natural-resource depletion can accompany current production. Fifth, destruction of wealth in a disaster is largely a stock loss, while reconstruction is current production and can raise GDP. Sixth, informal activity, digital services and quality change remain difficult to measure.

Named Indian evidence is the NSO's continuing use of surveys, administrative data and revisions, including the 2022-23-base series and Supply and Use Table reconciliation. These strengthen the production anchor but do not transform it into a complete social index.

The correct response is a dashboard: real per-capita GDP and sectoral GVA with employment, consumption distribution, health, education and poverty indicators. HDI and MPI are developed in Economy Topic 2; environmental-economic and green-accounting adjustments belong to Topic 25. GDP should therefore be neither worshipped nor discarded: it measures production, while development requires evidence on capabilities, distribution, decent work and sustainable wealth.